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Multiple Choice: [50 pts, 5 pts for each]

[Note that you need to identify the choice that “best” completes the statement or answers the question.]

1	D	4	A	7	B	10	B
2	D	5	D	8	A		
3	A	6	D	9	A		

1. Making rational decisions “at the margin” means that people
 - A. make decisions that do not impose a marginal cost.
 - B. behave in a random fashion.
 - C. are concerned more about present circumstances than their future.
 - D. compare the marginal costs and marginal benefits of each decision.
2. Which of the following would not be a determinant of the demand for a particular good?
 - A. prices of related goods
 - B. income
 - C. tastes
 - D. the prices of the inputs used to produce the good
3. What will happen in the rice market if buyers are expecting higher rice prices in the near future?
 - A. The demand for rice will increase.
 - B. The demand for rice will decrease.
 - C. The demand for rice will be unaffected.
 - D. The supply of rice will increase.
4. Which of the following is correct?
 - A. Economists study the management of scarce resources.
 - B. Resources are allocated by those firms that use resources to provide goods and services.
 - C. Economists believe that people pursue their best interests; they are not interested in how people interact.
 - D. The phenomenon of *scarcity* stems from the fact that the government restrict the production of many goods and services.

5. Movie tickets and DVDs are substitutes. If the price of DVDs increases, what happens in the market for movie tickets?
- A. The supply curve shifts to the left.
 - B. The supply curve shifts to the right.
 - C. The demand curve shifts to the left.
 - D. The demand curve shifts to the right.
6. Which of the following statements about the price elasticity of demand is correct?
- A. The price elasticity of demand for a good measures the willingness of buyers of the good to buy less of the good as its price increases.
 - B. Price elasticity of demand reflects the many economic, psychological, and social forces that shape consumer tastes.
 - C. Other things equal, if good x has close substitutes and good y does not have close substitutes, then the demand for good x will be more elastic than the demand for good y .
 - D. All of the above are correct.
7. Demand is said to be inelastic if
- A. buyers respond substantially to changes in the price of the good
 - B. demand shifts only slightly when the price of the good changes.
 - C. the quantity demanded changes only slightly when the price of the good changes.
 - D. the price of the good responds only slightly to changes in demand.
8. The smaller the price elasticity of demand, the
- A. steeper the demand curve will be through a given point.
 - B. flatter the demand curve will be through a given point. (more elastic)
 - C. more strongly buyers respond to a change in price between any two prices P_1 and P_2 .
 - D. smaller the decrease in equilibrium price when the supply curve shifts rightward from S_1 to S_2 . (bigger)
9. The difference between slope and elasticity is that slope
- A. is a ratio of two changes, and elasticity is a ratio of two percentage changes.
 - B. is a ratio of two percentage changes, and elasticity is a ratio of two changes.

- C. measures changes in quantity demanded more accurately than elasticity.
 - D. None of the above is correct; there is no difference between slope and elasticity.
10. At any point on an indifference curve, the slope of the curve measures the consumer's
- A. income.
 - B. willingness to trade one good for the other.
 - C. perception of two goods as substitutes or complements.
 - D. elasticity of demand.

Questions for Applications:

Q1	[25 pts, 5 pts for each] Suppose the demand schedule in a market can be represented by the equation $Q^D = 500 - 10P$, where Q^D is the quantity demanded and P is the price. Also, suppose the supply schedule can be represented by the equation $Q^S = 200 + 10P$, where Q^S is the quantity supplied. (1) What is the equilibrium price in this market? Ans. $Q^D = Q^S$ $20P = 300$ $P = 15$ (2) What is the equilibrium quantity (Q^E) in this market? Ans. $Q^E = 500 - 10(15) = 200 + 10(15) = 350$ (3) Suppose the price is currently equal to 10 in this market. Is there a shortage or surplus in this market, and how large is the shortage/surplus? Ans. $Q^S = 200 + 10(10) = 300$ $Q^D = 500 - 10(10) = 400$ $Q^D - Q^S = 100$
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	The market is shortage and the amount of shortage is 100 (4) Suppose the price is currently equal to 18 in this market. Is there a shortage or surplus in this market, and how large is the shortage/surplus? Ans. $Q^S = 200 + 10(18) = 380$ $Q^D = 500 - 10(18) = 320$ $Q^S - Q^D = 60$ The market is surplus and the amount of surplus is 60 (5) Suppose the supply curve shifts to $Q^S = 300 + 10P$. What is the new equilibrium price and quantity (Q^E) in this market? Ans. $300 + 10P = 500 - 10P, \quad P^E = 10, \quad Q^E = 300 + 10(10) = 400$
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Q2	[15 pts, 5 pts for each] Suppose the demand function for good X is given by: $Q_X^D = 15 - 0.5P_X - 0.8P_Y$ where Q_X^D is the quantity demanded of good X, P_X is the price of good X, and P_Y is the price of good Y, which is related to good X. (1) Using the midpoint method, if the price of good Y is \$10 and the price of good X decreases from \$5 to \$3, what is the price elasticity of demand for good X? Is the demand elastic, unitary elastic, or inelastic? Ans. $Q_{X1}^D = 15 - 0.5(5) - 0.8(10) = 4.5$ $Q_{X2}^D = 15 - 0.5(3) - 0.8(10) = 5.5$ $E_{X1}^D = \left \frac{(5.5 - 4.5)/5}{((5 - 3)/4)} \right = 0.4, \text{ inelastic}$ (2) Are Good X and Good Y related as complements or substitutes, given that Good Y obeys the law of demand?
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	Ans. Complement. When the price of good Y increase, the quantity of good X decrease. (3) Using the midpoint method, if the price of good X is \$10 and the price of good Y increases from \$8 to \$10, the cross price elasticity of demand is about Ans. Q_x / P_y $Q_{x1}^D = 15 - 5 - 0.8(8) = 3.6$ $Q_{x2}^D = 15 - 5 - 0.8(10) = 2$ $E = ((2-3.6)/2.8)/((10-8)/9) = -2.57,$ They are complement as $E < 0$.
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Q3	[10 pts] 請寫下截至目前為止對這門課的心得與建議: (Write your comments or suggestions on this course) 透過老師的例子學到很多經濟學的實際應用
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